The government decided to hardcode the fiscal deficit target in the FRBM law. The FRBM Act was amended via the Finance Act 2018–19 to prescribe that the fiscal deficit of 3 per cent of GDP would be achieved by financial year 2020–21 and thereafter would not be exceeded. Further, the amended FRBM Act provided that the Government of India would attain the target of Central government debt and liabilities to GDP ratio of 40 per cent by 2024–25.

Fiscal Deficit Goes out of Shape in 2019–20 and Crossed All Limits in 2020–21

The fiscal deficit was Rs 6.49 lakh crore in 2018–19. Fiscal deficit, in nominal terms, was Rs 5.03 lakh crore in 2013–14, the year before the NDA government took over in May 2014. The increase in fiscal deficit in five years, the first term of the NDA government, was very small. It rose to Rs 5.11 lakh crore in 2014–15 (an increase of only Rs 0.08 lakh crore), Rs 5.33 lakh crore in 2015–16 (an increase of Rs 0.22 lakh crore), Rs 5.36 lakh crore in 2016–17 (an increase of Rs 0.03 lakh crore), Rs 5.91 lakh crore in 2017–18 (an increase of Rs 0.55 lakh crore) and Rs 6.49 lakh crore in 2018–19 (an increase of Rs 0.58 lakh crore).

The fiscal deficit for 2019–20 (actual), as per the details presented in Budget 2021–22, rose to Rs 9.34 lakh crore, an increase of Rs 2.85 lakh crore. This was a massive increase of 43.9 per cent over the fiscal deficit of 2018–19. And 2019–20 was not the year of the pandemic.

The revised fiscal deficit of 2020–21, as presented in Budget 2021–22, was a humungous Rs 18.49 lakh crore. The fiscal deficit of 2020–21 increased by Rs 9.13 lakh crore, almost a 100 per cent increase. Compared to financial year 2018–19, the fiscal deficit in financial year 2020–21 rose by Rs 12 lakh crore, an increase of 185 per cent. The fiscal deficit of the Government of India trebled (from Rs 6.49 lakh crore in 2018–19 to Rs 18.49 lakh crore in 2020–21) in two years.